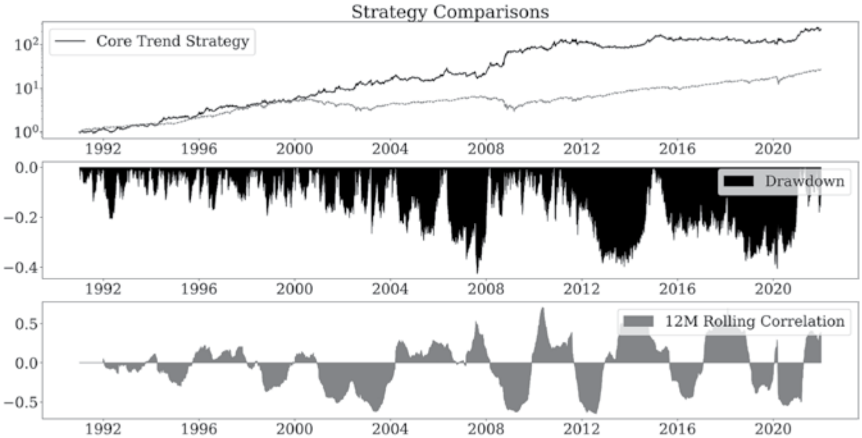

FIGURE 5.2 Core strategy underwater and plot.

zero. Clearly the time to recover during that last drawdown period is a bit too long and something to study closer. It's no longer than what we've seen in traditional markets like equities, but it's longer than we're used to in the trend following space.

The lower pane in Figure 5.2 shows the rolling 12 months correlation against the stock markets, in this case, represented by the S&P 500 Total Return Index. It would be easy to argue that this is the most important chart pane in Figure 5.2 and that this is where you find the real value in trend following.

What you see here is that the correlation in the long run is close to none, but that in the shorter term, it moves between +0.6 to −0.6. This means that we have a weak and variable correlation and if you are familiar with financial risk management and diversification principles, you will quickly understand how valuable this is. What is really interesting is how quickly the correlation drops into negative territory when the stock markets take a turn for the downside, and that will effectively work as a crisis hedge to your overall portfolio.

Strategy Long-Term Performance

If you look at the long-term graphs and data, it's easy to draw the conclusion that returns have stagnated permanently and that perhaps the strategy has stopped working. That's because we as humans tend to mentally extrapolate